

4. Credit Spread (Corporate Bonds)

So far our analysis has assumed that bonds are risk free. Corporate bonds are affected by all the factors that affect risk-free bonds, but in addition we must consider credit, or default, risk. It turns out that the corporate bond spread, which is the difference in yields between corporate bonds and Treasuries, contains more than just credit risk.

4.1. RISK AND RETURNS OF CORPORATE BONDS

Figure 9.12 graphs corporate bond yield spreads over Treasuries from January 1973 to December 2011. Risk increases as we move from AAA (very safe) to Caa (high yield, or junk). There is a pronounced commonality among the corporate bond spreads, especially for the investment grade bonds, which are those with ratings Baa and upward. Figure 9.12 also shows that these corporate spreads vary with the economic cycle, with increases during the mid-1970s recession, the early-1980s recession, and the early-2000s recession and a noticeable spike during the most recent recession caused by the financial crisis. The figure also shows that for junk bonds, the level of the yield spread and its volatility are much higher than for investment-grade bonds.

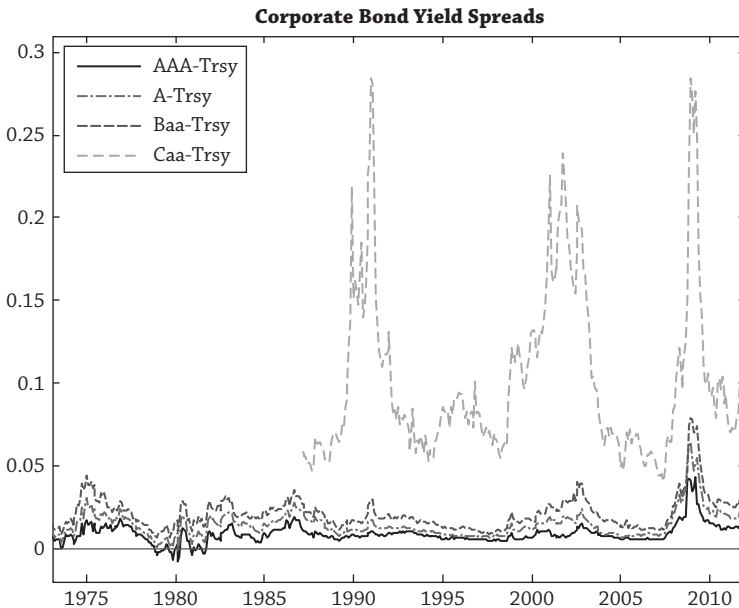


Figure 9.12